

INSURANCE AND PENSIONS COMMISSION



SHORT TERM INSURERS AND REINSURERS

MARKET STATISTICS FOR 2010, FOURTH QUARTER

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1. List of Acronyms and Abbreviations



GPW	–	Gross Premium Written
NPW	–	Net Premium Written
IBNR	–	Incurred But Not Reported
ROE	–	Return On Equity
NEP	–	Net Earned Premium
O/S	–	Outstanding
UPR	–	Unearned Premium Reserve
H1	–	First Half
Q1	–	First Quarter
Q2	–	Second Quarter
Q3	–	Third Quarter
IPEC/Commission	–	Insurance and Pensions Commission

NOTE: All figures are in United States Dollars

2. Executive Summary

The short term insurance industry had 24 direct insurers and 8 reinsurers registered and operating during the fourth quarter. GPW by direct insurers and reinsurers grew by 41% to \$117 million and 32% to \$50 million respectively during the period under review. The main drivers of short-term insurance continue to be motor and fire insurance, which constituted 63% of the GPW for the period ending 31 December 2010.

Growth in business did not translate into profitability. On the contrary direct short term insurers recorded increase in losses of 110% from \$1.02 million for the period ending 30 September 2010 to \$2.21 million by the end of the fourth quarter. The profit before tax for the reinsurers was a negative \$4 million, a more than five fold increase in losses as compared to the third quarter position. The sector recorded negative underwriting results attributable mostly to weak underwriting standards, rampant rate undercutting and high cost structures as reflected by the high combined ratio (cost to income ratio), 100% and 112% for direct insurers and reinsurers respectively.

There was a 3.4% decline in the equity of direct insurers from \$37.83 million as at 30 September 2010 to \$36.53 million as at 31 December 2010. This was a direct result of under performance of the industry which negatively impacted on retained earnings. Five direct insurers were inadequately capitalized. They failed to meet the \$300 000 minimum capital requirement. However all reinsurers were adequately capitalized during the period under review. There was a 2% increase in total shareholders' equity of the reinsurers from \$50.82 million as at 30

September 2011 to \$52.04 million as at 31 December 2010. The increase in capitalization resulted mostly from capital injections and retained earnings.

The Commission has engaged all of the inadequately capitalized players, put in place measures to protect policy holders and directed them to recapitalize within defined time frames. Failure to recapitalize will result in the cancellation of their licences in terms of the Insurance Act.

It is also the intention of the Commission as advised in the previous report to increase the capital levels. Assets in the short term insurance industry remain skewed towards non-current assets thereby heightening liquidity risk.

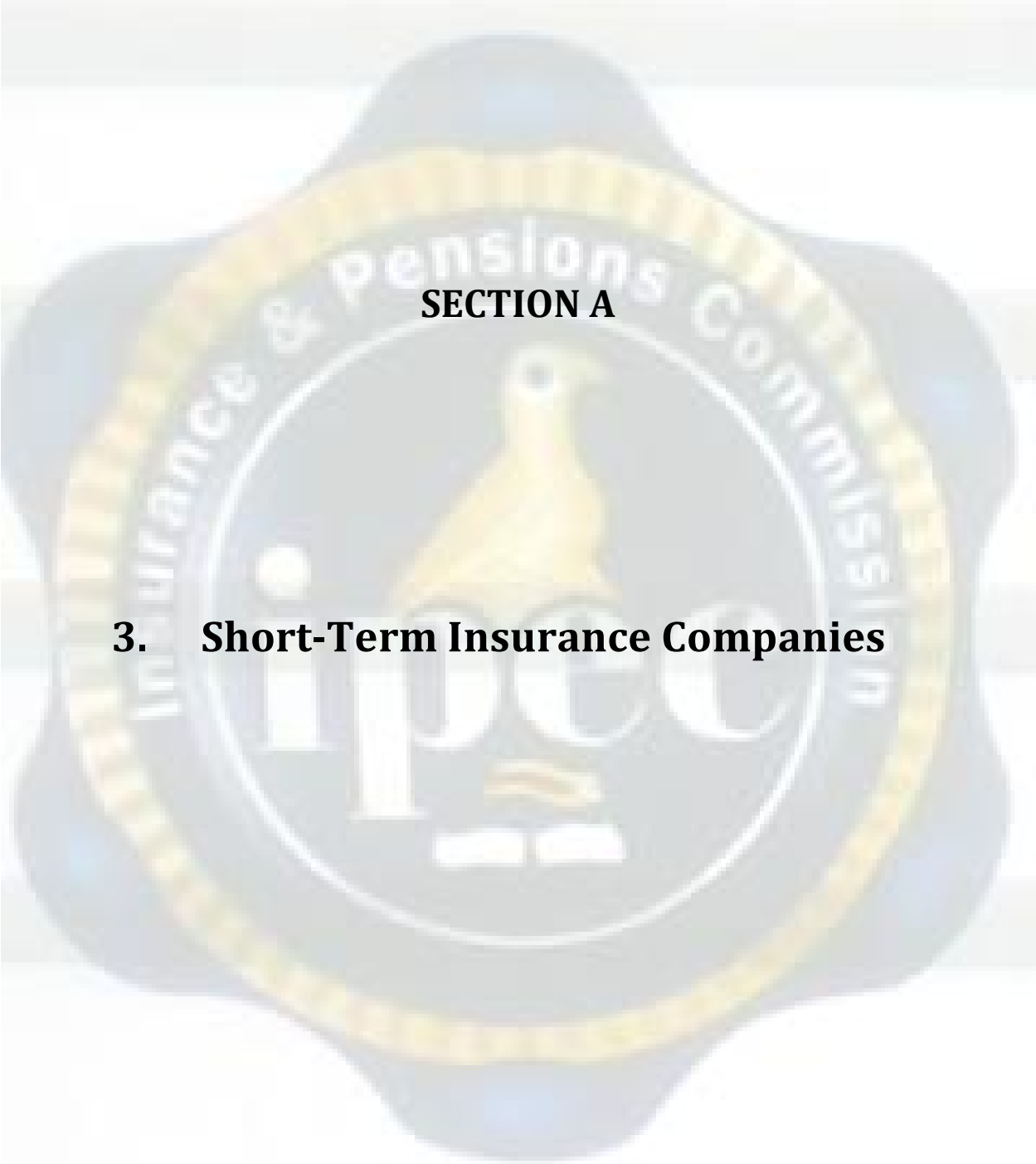
The market remains oligopolistic in nature with one third of the direct insurers accounting for 74% of the total GPW. The top three reinsurers accounted for 70% and 69% of the total GPW and NPW for the period under review respectively.

There was on average a marginal increase in risk appetite among insurers denoted by increase in average risk retention ratios for both the direct insurers and reinsurers during the quarter under review.

The Commission continues to monitor compliance and risk management issues in the industry to ensure protection of the policyholders.

Structure of the Report

This report is divided into two sections. Section A gives the financial performance of the short-term insurers. Section B covers the financial performance of reinsurers.



SECTION A

3. Short-Term Insurance Companies

3.1. Performance Overview of Short-Term Insurers

There were 28 registered short term direct insurers during the fourth quarter with 4 of them not yet operating. The statistics reported hereunder relates to 24 active short term insurers. Written business both gross and net premium continued to grow from \$83.12 million and \$43.88 million in the previous quarter to \$117.31 million and \$64.08 million in the fourth quarter respectively. This was a 41% increase in GPW and 46% in NPW respectively.

Table 1: Performance Indicators

	Q4 2010	Q3 2010	% Change
Gross Premium Written	117,314	83,121	41.14%
Net Premium Written	64,076	43,888	46.00%
Net Earned Premium	56,963	40,535	40.53%
Net Claims Incurred	21,734	17,078	27.26%
Net Commission Incurred	5,026	3,982	26.23%
Management Expenses	30,013	20,716	44.88%
Underwriting Profit	-5,363	-1,046	412.75%
Investment Income	1,826	1268	44.00%
Profit Before Tax	-2,206	-1,216	81.40%

The main drivers of short-term insurance continue to be motor and fire insurance, which constituted 63% of the GPW for the period ending 31 December 2010 as depicted in figure 1 below. Significant growth in business in excess of 60% was observed in engineering, hire purchase, hail and farming insurance. Refer to table 2.

Table 2: Gross Written Premiums by Class of Business

Contribution by Class	Q4	Q3	% Change
Fire	28,985,846	22,826,333	26.98%
Motor	44,261,741	28,413,211	55.78%
Engineering	6,262,865	3,855,381	62.44%
Marine	3,269,597	2,527,617	29.35%
Aviation	3,756,661	2,816,933	33.36%
P/Accident	8,950,305	6,294,203	42.20%
P/Liability	729,074	643,662	13.27%
Misc Accident	7,489,024	6,431,962	16.43%
Bonds/Guarantee	4,060,419	3,323,214	22.18%
H/Purchase	1,038,863	561,299	85.08%
Hail	3,211,239	3,199,698	0.36%
Health	7,901	25,402	-68.90%
Farming	5,290,260	2,201,589	140.29%
Total	117,313,795	83,120,504	41.14%

On a year to year basis GPW grew by 53% from \$76.66 million for the period ending 31 December 2010 compared to the period under review. Conspicuous growth was in hail insurance, which increased by more than 125 times from \$25 000 to \$3.211 million over the period. The increase in agriculture related insurance is attributed to the recovery of that sector and increasing awareness among the farming community to transfer risk through insurance. The more than 3 fold growth in hire purchase is an indication of an increase in consumer confidence against a stable and recovering economy reinforced by the multi-currency regime.

However over the same period a decline in public liability insurance was observed. Table 3 depicts the different growth rates in the various class of insurance business between 2009 and 2010 fourth quarters.

Table 3: 2009 and 2010 Growth by Class of Business

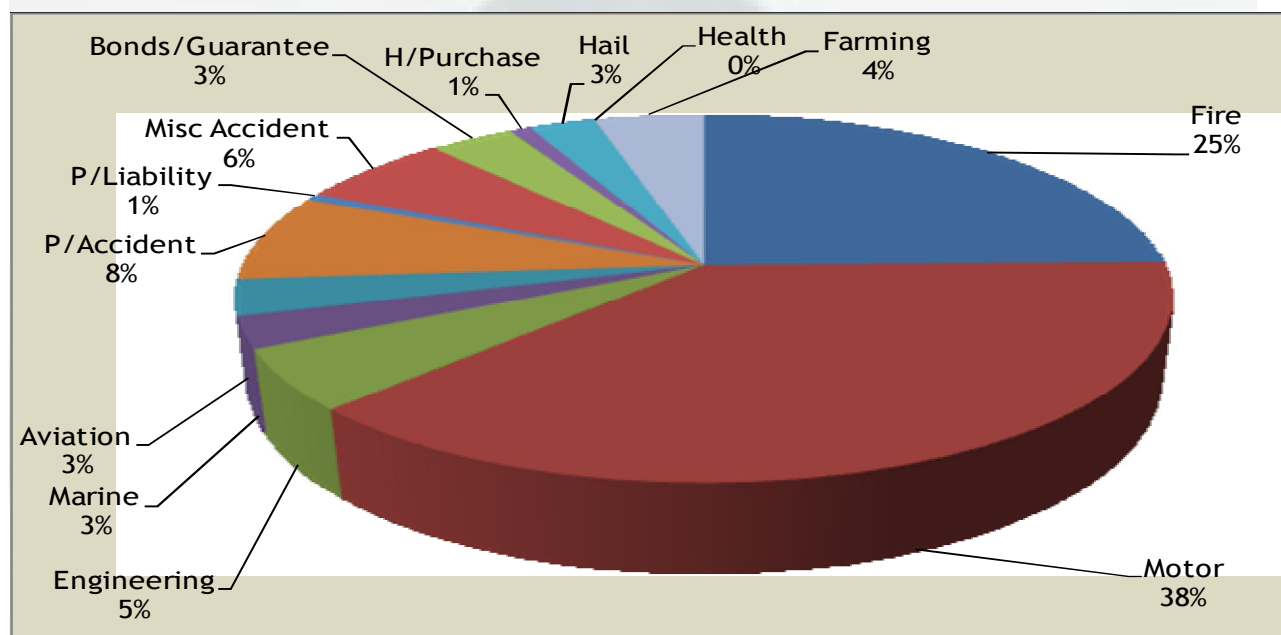
Contribution by Class	Q4 2010	Q4 2009	% Change
Fire	28,985,846	23,046,667	25.77%
Motor	44,261,741	31,869,998	38.88%
Engineering	6,262,865	2,635,897	137.60%
Marine	3,269,597	1,816,851	79.96%
Aviation	3,756,661	3,669,016	2.39%
P/Accident	8,950,305	4,994,072	79.22%
P/Liability	729,074	1,121,573	-35.00%
Misc Accident	7,489,024	4,217,971	77.55%
Bonds/Guarantee	4,060,419	1,902,310	113.45%
H/Purchase	1,038,863	238,282	335.98%
Hail	3,211,239	25,326	12579.61%
Health	7,901	9,749	-18.96%
Farming	5,290,260	1,107,833	377.53%
Total	117,313,795	76,655,545	53.04%

The pie chart below, figure 1 shows the distribution of business by class for the period ending 31 December 2010, as alluded to before motor and fire insurance remain the dominant business written. The former accounts for 38% of the total short term direct insurers' GPW and the latter 25%. The motor insurance's share of business grew by 4% from 34% recorded in the previous quarter. This is attributable to the increasing number of motor vehicles on the Zimbabwean roads.

However, it is the general belief among short term insurers that a large proportion of vehicles on our roads do not have valid insurance cover. If this assertion is true, the intended introduction of a law, which makes it compulsory for motorists to display insurance disks, with approved security features in the

same manner as vehicle license disks, will inevitable result in tremendous growth in this class of business.

Figure 1: Distribution of Business



3.2. Earnings

Growth in GPW was not reciprocated by increase in profitability, instead direct short term insurers recorded increase in losses of 110% from \$1.02 million for the period ending 30 September 2010 to \$2.21 million by the end of the fourth quarter. The deterioration in profitability is quite striking if compared to the net profit before tax of \$2.91 million recorded during 2009.

Two thirds of direct insurers recorded negative underwriting results. Investments and other income streams spurred performance to result in half of the insurers recording profits before taxation. See appendix A.

The generally weak performance of the industry among other things is attributed to combination of the following factors that include:

- Inappropriate pricing adopted by insurers in pursuit of premium volumes and bigger market share. This was evidenced by rampant premium rate undercutting in the market.
- The high combined ratio on average at 99.7% for the industry and the generally negative insurance (underwriting) margins, which were recorded by 71% of the insurers. This is a red flag for the industry requiring improved underwriting standards and cost restructuring as turnaround strategies if the industry is to remain stable and viable.
- Most players do not have adequate technical and shareholders' investment income to augment earnings

The Commission will remain resilient in enforcing the minimum prescribed rates and engaging direct insurers on their turnaround strategies to ensure that the industry remains stable and guarantee the protection of policy holders.

3.3. Capitalization

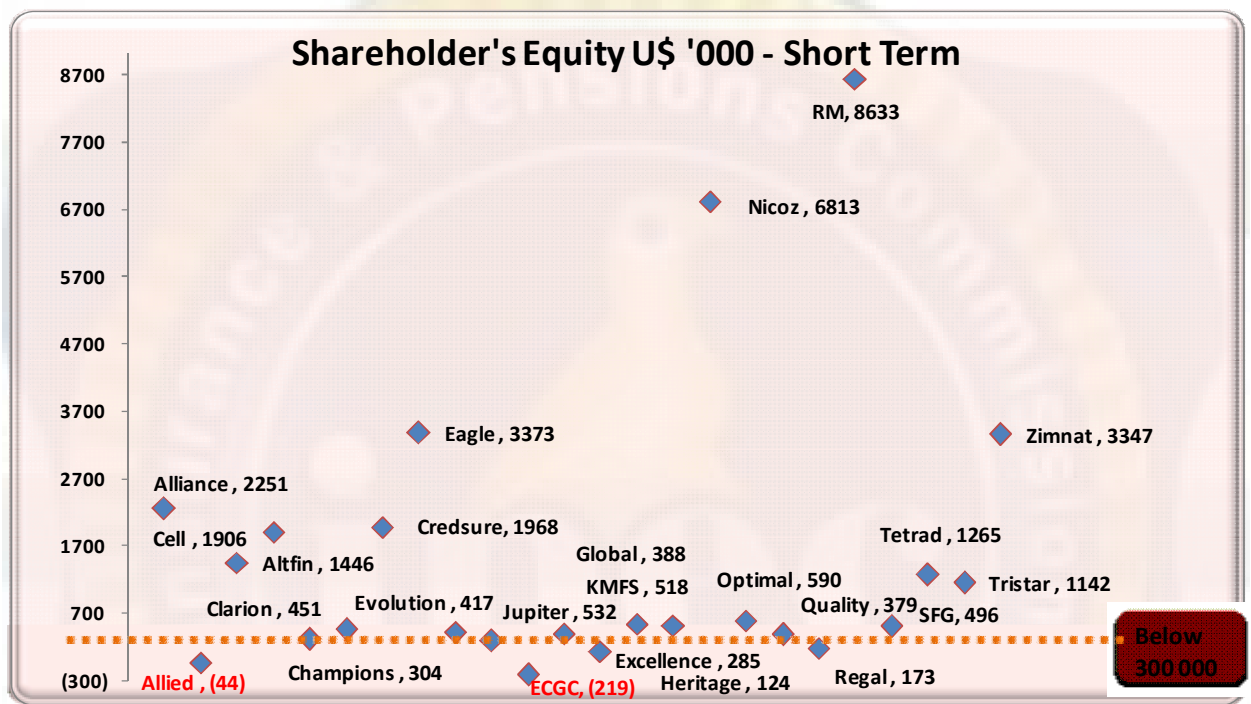
There was a 3.4% decline in shareholders equity from \$37.83 million as at 30 September to \$36.53 million as at 31 December 2010. This was a direct result of under performance of the industry which negatively impacted on retained earnings.

However between December 2009 and December 2010, due to the need to meet the mandatory minimum capital requirement of \$300 000, total capital increased by 20.6% over the same period to \$30.31 million.

The number of inadequately capitalized (with capital below \$300 000) direct insurers was down to 5 from 7 observed as at the end of the previous quarter. Two of these 5 were precariously insolvent.

The Commission has engaged all of the inadequately capitalized players, put in place measures to protect policy holders and directed them to recapitalize within defined time frames. Failure to recapitalize will result in the cancellation of their licences in terms of the Insurance Act.

Figure2 : Capital Levels

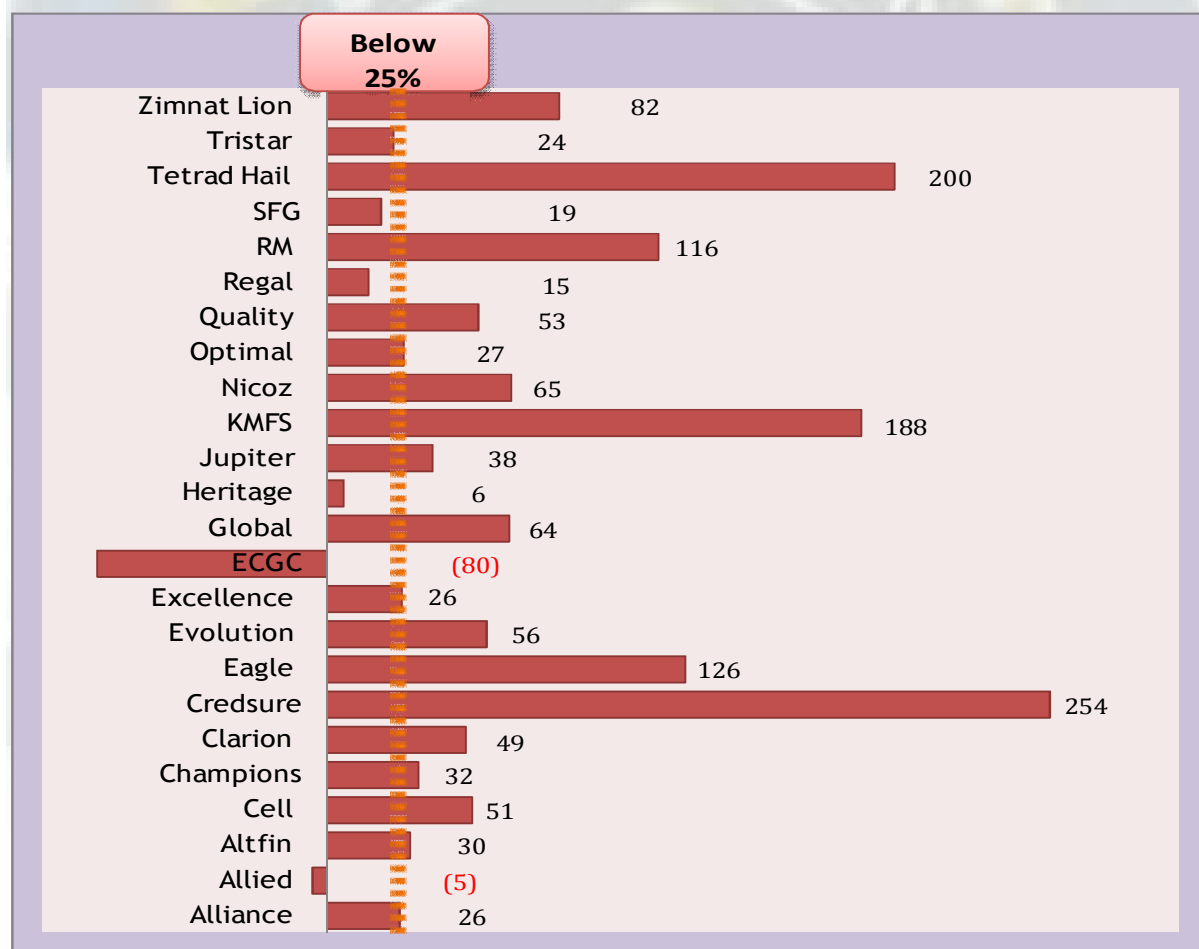


During the quarter under review solvency ratio, here defined as total capital divided by NWP increased from 52% to 57%, though the number of players with solvency ratios below 25% increased from 3 in the previous quarter to 6. Refer to figure 3.

There is need for insurers to align growth in business to capitalization and reinsurance programmes for improved management of solvency risk. In general institutions with relatively low capital levels need to have low retention levels.

As alluded to in the third quarter report it is the intention of the Commission to revise upwards the required minimum capital to between \$1 million and \$1.5 million in line with regional and international levels and the protection of the insuring public. The proposed increase in capital requirement has been deliberately delayed as the Commission took into account the impact of the introduction of the multi-currency regime, which eroded capital base of the industry except that which was preserved in equities and real property.

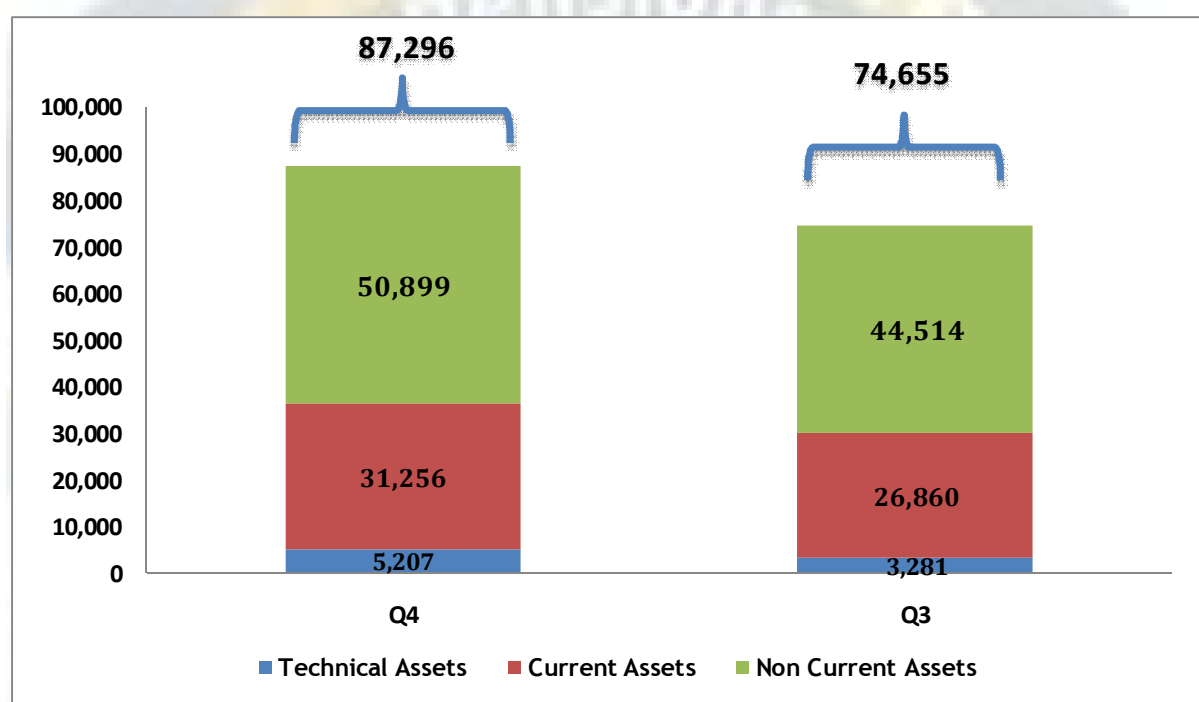
Figure 3: Solvency Ratios



3.4. Asset Quality

Though assets increased by 17% from \$74.66 million as at the end of the 3rd quarter to \$87.3 million as at 31 December 2010, these remained predominantly non-current assets (58%), thus heightening liquidity risk within the market. Debtors including premiums receivable constituted 31% of total assets. There is definite need for insurers to improve on their collection efforts.

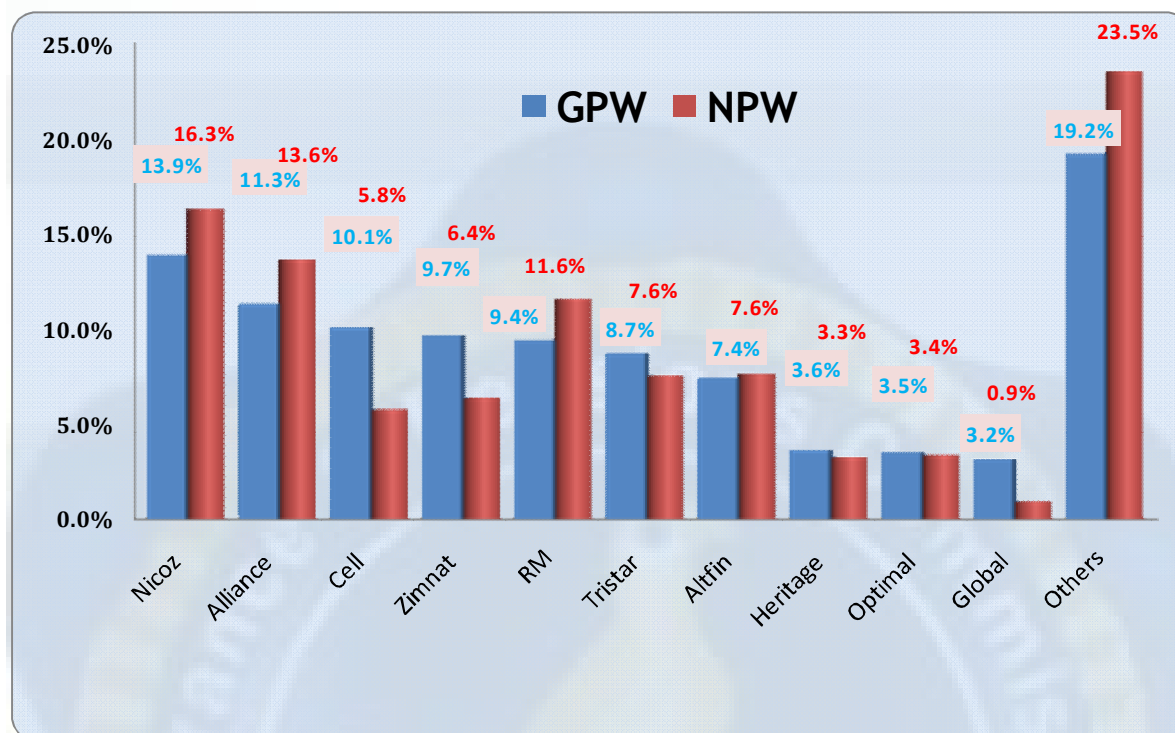
Figure 4: Assets Composition of Short-Term Insurers ('000)



3.5. Market Share for Short-Term Insurers

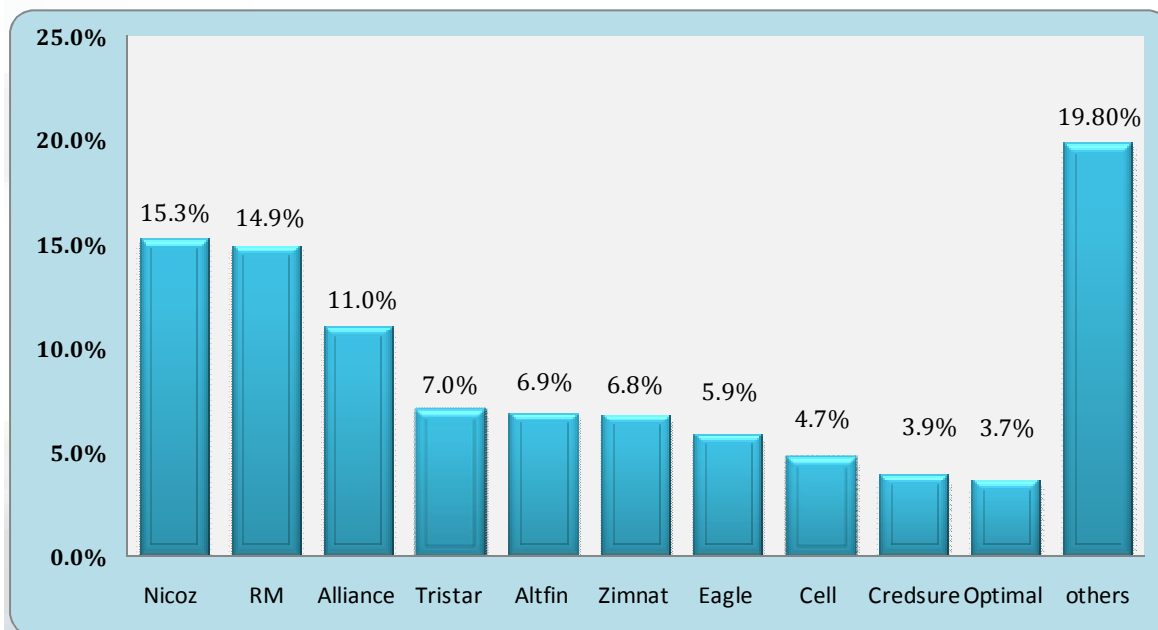
The market remains oligopolistic in nature with one third of the direct insurers accounting for 74% (\$86.95 million) of the total GPW and 73% (\$46.84 million) of total NPW. On average the remaining 16 insurers have GPW of \$1.9 million which may not provide the critical mass required to break-even especially where fixed costs are relatively high.

Figure 5: Market share using GPW and NPW



The distribution of assets within the industry confirms the industry is dominated by a few players. One third of the players accounted for 74% of the total assets of the direct short term insurers as at 31 December 2010. See figure 6 depicting market share in terms of assets. It is important to note that the mix of the top players ranked in terms GPW, NPW and assets is not necessarily the same. This reflects different retention policies and assets bases of the various players in the sector. Refer to figure 5 and 6 for comparison.

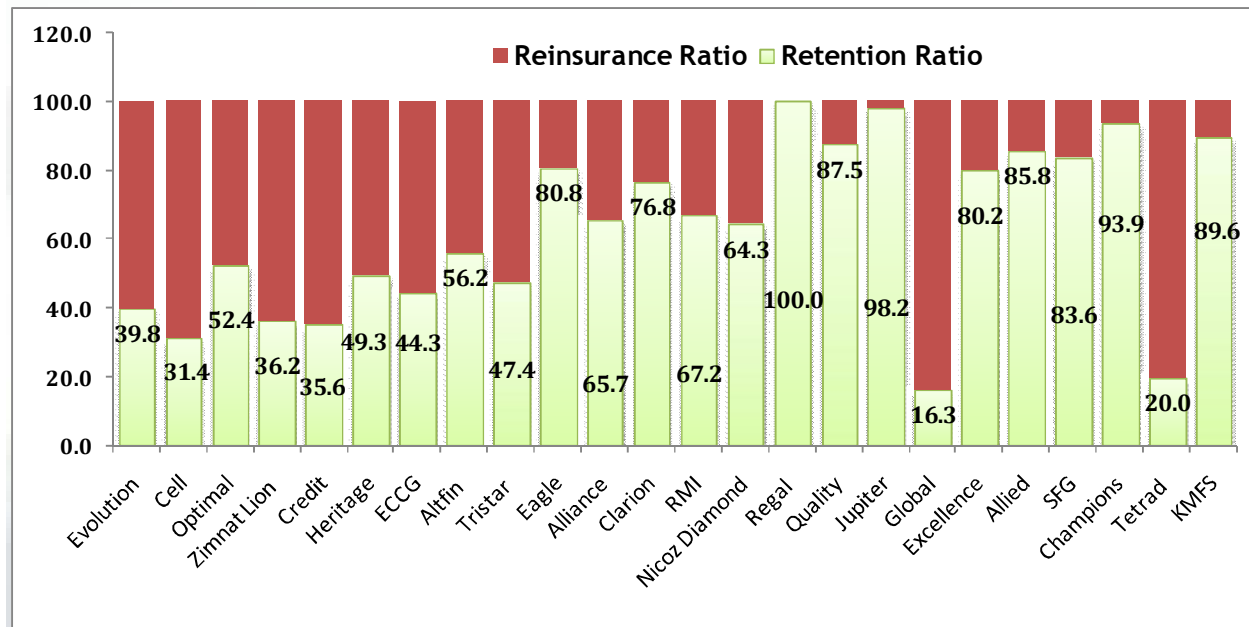
Figure 6: Market Share In Terms of Asset



3.6. Reinsurance

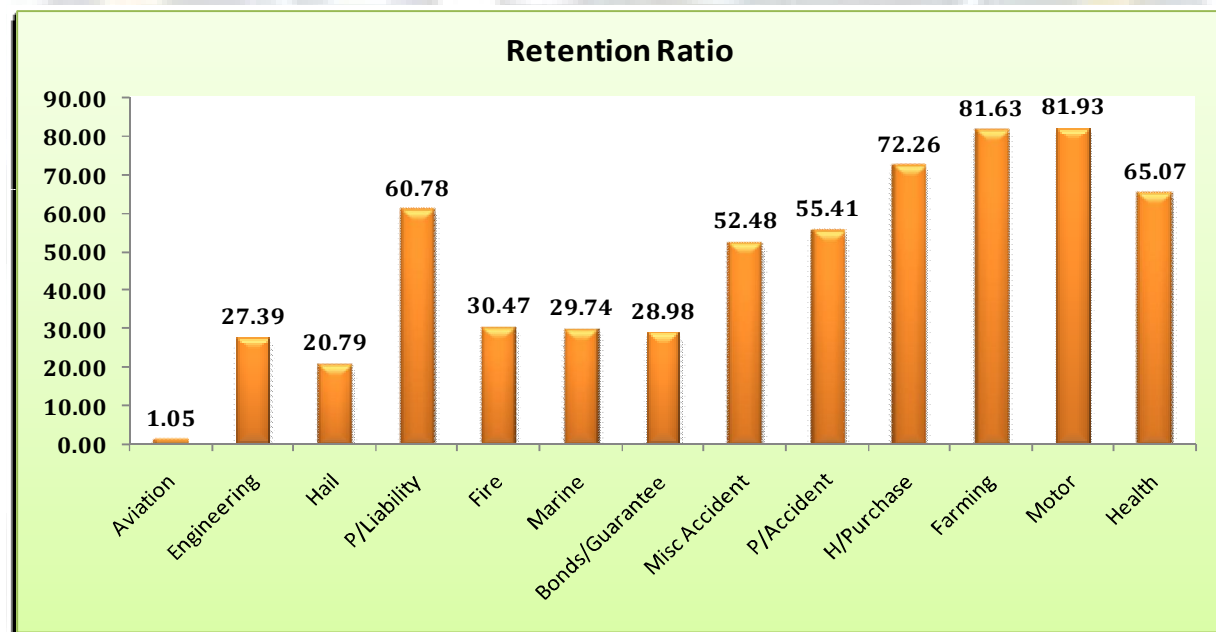
There was a marginal increase in the average retention of risk from 53% during the previous quarter to 55% in the quarter under review, which indicates an increase in risk appetite among insurers. Retention ranged from 16.3% to 100%. Retention levels are shown in figure 7. The Commission is closely monitoring instances where there is apparent negation of prudent risk management practice, evidenced by high risk retention on the background of weak balance sheet positions.

Figure7: Reinsurance/Retention for Short Term Companies



Insurers are retaining relatively high risk in farming, motor and hire purchase insurance where ceded business is less than 30%. See figure 8 below that is indicating retention of business by class of insurance business.

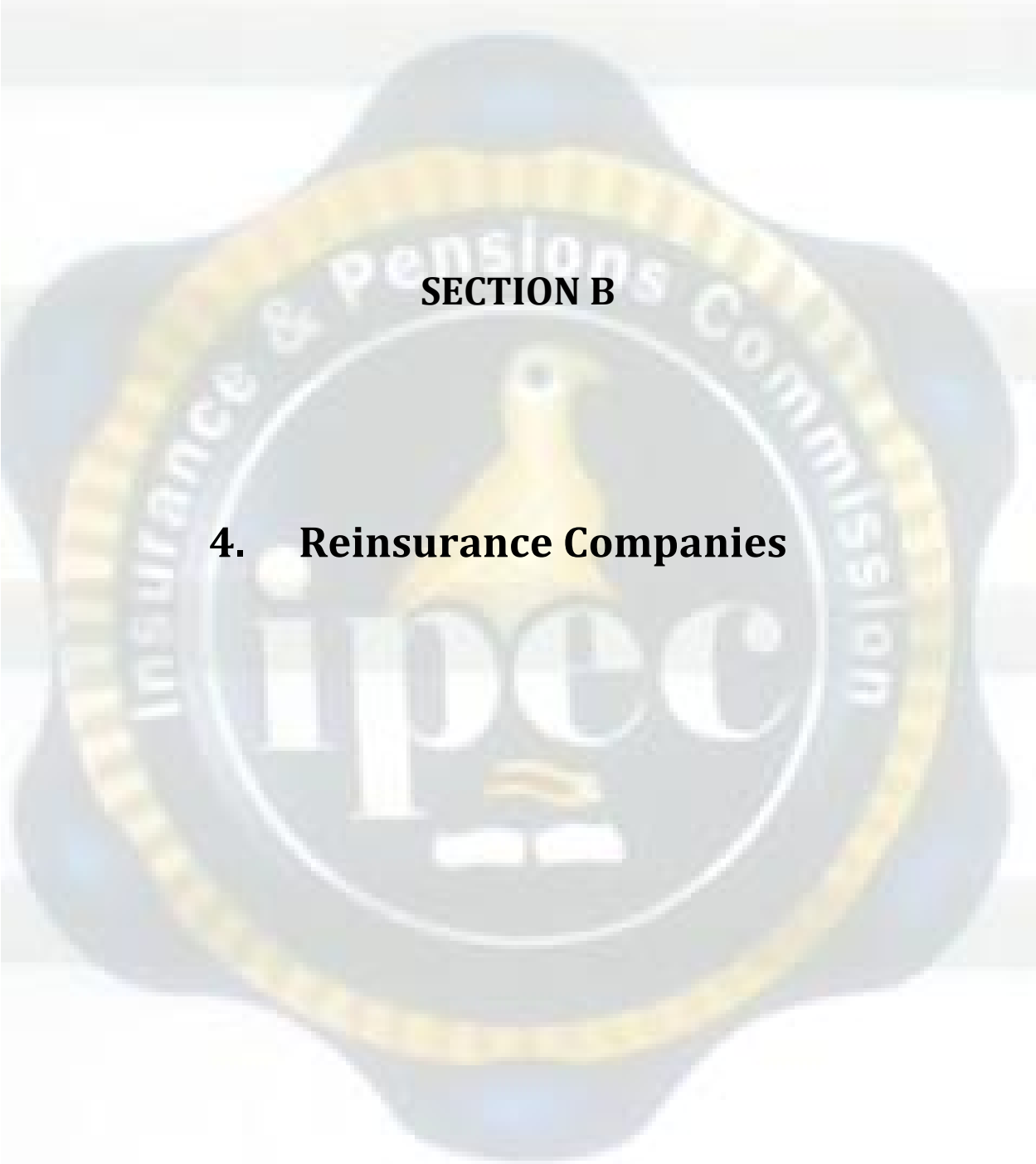
Figure 8: Retention by Class



APPENDIX A: ALL FIGURES IN US\$('000)

	Alliance	Allied	Altfin	Cell	Champions	Clarion	Credsure	Eagle	Evolution	Excellence	ECGC	Global	Heritage	Jupiter	KMFS	Nicoz	Optimal	Quality	Regal	RM	SFG	Tetrad	Tristar	Zimnat	TOTAL
GPW	13,276	980	8,721	11,856	1,013	1,198	2,176	3,307	1,872	1,359	614	3,702	4,238	1,444	308	16,268	4,129	818	1,162	11,022	3,104	3,173	10,245	11,328	117,314
Reinsurance	4,551	159	3,824	8,133	62	278	1,402	634	1,126	269	342	3,097	2,149	27	32	5,807	1,963	102	0	3,611	509	2,539	5,392	7,229	53,238
NWP	8,725	821	4,897	3,723	951	920	774	2,672	746	1,090	272	605	2,088	1,418	276	10,461	2,166	716	1,162	7,411	2,595	634	4,853	4,100	64,076
NEP	8,381	535	4,017	2,973	759	667	770	2,314	761	1,218	215	442	1,926	1,270	276	9,938	1,548	522	1,162	6,652	1,637	634	4,742	3,602	56,963
Net Incurred Claims	5,203	319	2,160	1,472	269	28	112	830	(225)	329	791	176	833	491	31	5,029	411	66	238	3,302	768	398	(3,228)	1,929	21,734
Net Commission Incurred	1,103	84	287	(80)	121	95	(160)	121	77	188	0	(24)	16	186	0	1,251	90	107	0	361	314	0	837	53	5,026
Technical Result	2,144	117	1,644	1,729	352	544	818	1,363	662	686	(579)	328	1,057	593	245	3,658	1,087	349	924	3,096	650	876	677	1,631	24,650
Operating Expenses	1,816	329	1,850	1,794	421	443	859	2,244	351	904	210	315	1,302	603	292	4,498	899	281	1,031	2,736	1,320	739	2,420	2,356	30,013
Underwriting Result	327	(212)	(206)	(65)	(69)	101	(41)	(882)	312	(217)	(789)	13	(245)	(11)	(47)	(840)	188	68	(107)	360	(670)	137	(1,743)	(725)	(5,363)
Investment																									
Investment Income	141	0	(15)	151	90	20	106	36	5	0	9	14	132	0	1	358	15	3	3	476	0	132	70	80	1,826
Unrealised Gains/Losses	0	0	274	10	0	0	0	21	1	0	0	(3)	0	0	(36)	(976)	15	16	0	597	1	0	(405)	0	(487)
Other Income	230	78	13	231	36	0	51	210	50	0	155	0	3	5	0	0	35	0	0	(81)	7	(8)	159	83	1,256
Profit Before Tax	699	(133)	66	326	55	121	116	(615)	367	(217)	(626)	25	(114)	(6)	(58)	(1,357)	252	87	(104)	1,378	(246)	261	(1,919)	(562)	(2,206)
Key Ratios																									
Market Share % on GWP	11.3%	0.8%	7.4%	10.1%	0.9%	1.0%	1.9%	2.8%	1.6%	1.2%	0.5%	3.2%	3.6%	1.2%	0.3%	13.9%	3.5%	0.7%	1.0%	9.4%	2.6%	2.7%	8.7%	9.7%	100.0%
Market Share % on NWP	13.6%	1.3%	7.6%	5.8%	1.5%	1.4%	1.2%	4.2%	1.2%	1.7%	0.4%	0.9%	3.3%	2.2%	0.4%	16.3%	3.4%	1.1%	1.8%	11.6%	4.1%	1.0%	7.6%	6.4%	100.0%
Retention Ratio	65.7%	83.8%	56.2%	31.4%	93.9%	76.8%	35.6%	80.8%	39.8%	80.2%	44.3%	16.3%	49.3%	98.2%	89.6%	64.3%	52.4%	87.5%	100.0%	67.2%	83.6%	20.0%	47.4%	36.2%	54.6%
NEP/ NWP	96.1%	65.1%	82.0%	79.9%	79.8%	72.5%	99.5%	86.6%	102.1%	111.8%	78.8%	73.1%	92.2%	89.6%	100.0%	95.0%	71.5%	72.9%	100.0%	89.8%	63.1%	100.0%	97.7%	87.9%	88.9%
Net Claims Incurred Ratio	62.1%	59.7%	53.8%	49.5%	35.4%	4.2%	14.6%	35.9%	-29.5%	27.0%	368.7%	39.8%	43.2%	38.7%	11.3%	50.6%	26.5%	12.6%	20.5%	49.6%	46.9%	62.8%	-68.1%	53.6%	38.2%
Net Commission Ratio	13.2%	15.7%	7.1%	-2.7%	15.9%	14.2%	-20.7%	5.2%	10.1%	15.5%	0.0%	-5.4%	0.8%	14.7%	0.0%	12.6%	5.8%	20.5%	0.0%	5.4%	19.2%	0.0%	17.6%	1.5%	8.8%
Net Expense Ratio	21.7%	61.5%	46.1%	60.3%	55.4%	66.4%	111.5%	97.0%	46.1%	74.2%	97.8%	71.2%	67.6%	47.5%	105.8%	45.3%	58.1%	53.8%	88.7%	41.1%	80.6%	116.6%	51.0%	65.4%	52.7%
Combined Ratio	96.9%	136.9%	107.0%	107.1%	106.8%	84.8%	105.4%	138.1%	26.6%	116.7%	466.5%	105.6%	111.7%	100.9%	117.1%	108.5%	90.5%	87.0%	109.2%	96.2%	146.7%	179.3%	0.6%	120.4%	99.7%
Underwriting Margin	3.1%	-36.9%	-7.0%	-7.1%	-6.8%	15.2%	-5.4%	-38.1%	73.4%	-16.7%	-366.5%	-5.6%	-11.7%	-0.9%	-17.1%	-8.5%	9.5%	13.0%	-9.2%	3.8%	-46.7%	-79.3%	99.4%	-20.4%	0.3%

Statement of Financial Position-Reinsurers US\$'000																									
	Alliance	Allied	Altfin	Cell	Champions	Clarion	Credsura	Eagle	Evolution	Excellence	ECGC	Global	Heritage	Jupiter	KMFS	Nicoz	Optimal	Quality	Regal	RM	SFG	Tetrad	Tristar	Zimnat	TOTAL
ASSETS																									
Non-Current Assets																									
Fixed Assets	508	173	353	594	228	89	1,904	4,053	204	272	349	331	425	291	96	3,449	527	211	304	1,554	903	0	652	2,604	20,072
Investments	1,923	137	1,486	1,236	388	356	515	221	77	7	43	210	399	227	727	4,637	157	385	181	10,077	230	1,720	3,883	1,605	30,827
	2,431	309	1,839	1,830	616	445	2,419	4,274	281	279	392	541	823	518	823	8,086	684	596	484	11,631	1,133	1,720	4,535	4,209	50,899
Technical Assets																									
Reinsurers' Share of O/S Claims	232	0	322	0	0	0	0	0	145	42	0	0	0	0	0	0	395	10	0	276	98	0	0	0	1,519
Unearned Commission Reserve	675	0	474	161	73	0	0	121	0	4	0	53	99	0	0	402	873	0	0	319	117	0	120	198	3,688
	906	0	796	161	73	0	0	121	145	46	0	53	99	0	0	402	1,267	10	0	594	215	0	120	198	5,207
Current Assets																									
Premium Receivables	2,889	454	2,739	616	320	635	928	601	172	99	176	132	1,154	639	129	4,113	674	58	107	163	1,582	157	1,398	729	20,663
Other Debtors & Inventory	3,175	16	528	393	15	0	40	88	239	87	32	29	335	0	10	327	6	0	0	404	90	56	31	281	6,182
Accrued Investment income	0	0	0	0	0	0	0	0	0	0	0	5	1	0	0	0	364	0	0	47	0	0	0	0	417
Cash & cash equivalents	197	47	129	1,149	31	121	56	53	158	39	111	11	160	11	48	425	197	42	3	205	26	188	49	537	3,994
	6,261	516	3,396	2,158	366	756	1,023	742	570	226	319	177	1,650	650	187	4,865	1,241	100	111	818	1,699	401	1,478	1,546	31,256
TOTAL ASSETS	9,598	825	6,031	4,149	1,055	1,201	3,443	5,136	996	552	711	772	2,572	1,168	1,010	13,353	3,193	706	595	13,044	3,047	2,121	6,133	5,952	87,362
LIABILITIES																									
Deferred Tax Liabilities	0	0	80	58	0	26	492	295	0	42	0	6	19	0	0	1,490	0	(1)	0	810	378	90	157	268	4,209
Long Term loan	0	40	0	0	0	0	0	250	0	0	0	0	0	0	413	0	0	0	0	0	136	0	0	0	839
Current Tax provisions	175	108	113	21	115	50	68	(340)	69	74	0	2	0	0	78	(1,087)	63	16	5	200	48	642	0	85	506
Gross Outstanding Claims	961	0	1,217	0	0	108	0	403	242	33	0	40	362	0	0	1,306	532	0	0	0	0	0	0	701	5,904
IBNR	1,005	0	0	893	0	0	0	0	19	0	645	0	0	63	0	1,651	0	40	16	1,183	280	0	1,276	0	7,072
UPR	3,373	285	1,697	0	443	253	129	875	38	12	0	178	793	0	0	2,050	1,419	0	120	0	0	0	1,480	965	14,111
Unearned Premium	0	205	0	689	0	0	0	0	0	0	66	0	0	148	0	273	0	248	0	1,595	1,043	0	0	0	4,267
Reinsurance & Other Creditors	1,640	213	1,325	582	58	314	782	63	174	55	218	65	1,178	0	0	856	304	11	12	0	433	122	2,042	250	10,698
Other Creditors	195	18	153	0	134	0	4	217	37	50	0	93	95	425	0	0	284	13	268	623	233	0	37	337	3,215
TOTAL LIABILITIES	7,348	869	4,585	2,243	751	751	1,475	1,763	579	267	930	384	2,448	636	492	6,539	2,602	327	422	4,411	2,551	854	4,991	2,606	50,822
SHAREHOLDERS' EQUITY																									
Share Capital	301	0	925	1,518	380	300	2	380	120	300	200	33	0	238	600	2,797	50	120	47	309	304	0	2,000	553	11,477
Share Premium	0	67	0	0	0	25	455	0	0	0	0	294	0	0	0	3,184	50	0	0	0	801	1,000	0	500	6,376
Revaluation & Other Reserves	1,212	0	422	0	10	42	1,423	4,399	7	167	169	12	265	245	0	0	481	49	209	2,951	298	83	274	1,594	14,311
Retained Profit	737	(111)	99	387	(86)	83	87	(1,405)	289	(182)	(588)	49	(141)	50	(82)	832	9	210	(83)	5,372	(907)	182	(1,132)	701	4,373
Shareholders's Equity	2,251	(44)	1,446	1,906	304	451	1,968	3,373	417	285	(219)	388	124	532	518	6,813	590	379	173	8,633	496	1,265	1,142	3,347	36,537
																									0
TOTAL EQUITY & LIABILITIES	9,598	825	6,031	4,149	1,055	1,201	3,443	5,136	996	552	711	772	2,572	1,168	1,010	13,352	3,193	706	595	13,044	3,047	2,119	6,133	5,952	87,359
Key Ratios																									
Shareholders' Equity / NWP	25.8%	-5.3%	29.5%	51.2%	32.0%	49.0%	254.3%	126.2%	55.9%	26.1%	-80.4%	64.2%	6.0%	37.5%	187.7%	65.1%	27.2%	52.9%	14.9%	116.5%	19.1%	199.5%	23.5%	81.6%	57.0%
% of Debtors / Total Assets	30.1%	55.0%	45.4%	14.8%	30.3%	52.9%	26.9%	11.7%	17.3%	18.0%	24.8%	17.1%	44.9%	54.7%	12.8%	30.8%	21.1%	8.2%	18.0%	1.2%	51.9%	7.4%	22.8%	12.2%	23.7%
% of Investments / Total Assets	20.0%	16.6%	24.6%	29.8%	36.8%	29.7%	15.0%	4.3%	7.8%	1.3%	6.0%	27.2%	15.5%	19.4%	72.0%	34.7%	4.9%	54.5%	30.4%	77.3%	7.6%	81.1%	63.3%	27.0%	35.3%

The background of the slide features a large, semi-transparent watermark of the Insurance & Pensions Commission (IPEC) logo. The logo is a circular emblem with a gold border. Inside the border, the words "Insurance & Pensions Commission" are written in a circular path. In the center of the emblem is a stylized gold bird, possibly a phoenix or eagle, with its wings spread. Below the bird, the letters "ipecc" are written in a lowercase, serif font.

SECTION B

4. Reinsurance Companies

4.1. Performance Overview of Reinsurers

There were 8 registered and operating short term reinsurers in the 4th quarter, the same number as in the previous quarter. The reinsurers recorded a 32% increase in GPW from \$37.91 million in the 3rd quarter to \$50.09 million attained in the period ending 31 December 2010. A similar growth trend was observed in the NPW, which increased by 33% from \$23.92 million to \$31.89 million during the same period, an indication of a marginal increase in the risk retention by the reinsurers.

Whilst written business increased, profitability continued on a downward trend. Reinsurers' underwriting losses for the period ending 30 December 2010 were \$3.52 million. This was a deterioration of 89% from the 3rd quarter results of \$1.89 underwriting losses. The profit before tax for the reinsurers was a negative \$4 million, a more than 5 fold increase in losses as compared to the 3rd quarter position. The summary of profit figures is shown in table 4.

The more than proportionate increase in net claims and management expenses account for the deterioration in the sector's profitability. The combined ratio, that is the cost to income ratio for the short term reinsurers, was 112% as can be gleaned from appendix B. This helps explain the losses incurred by the sector. The 5 reinsurers that recorded losses had combined ratios in excess of 100%. There is need for these players to review their underwriting standards and cost structures in order to improve underwriting margins.

Table 4: Performance Indicators

	Q4 2010	Q3 2010	% Change
Gross Premium Written	50,094	37,916	32.12%
Net Premium Written	31,888	23,923	33.29%
Net Earned Premium	30,484	21,998	38.57%
Net Claims Incurred	11,870	7,154	65.92%
Net Commission Incurred	8,251	5,972	38.16%
Management Expenses	14,071	8,125	73.18%
Underwriting Profit	(3,522)	(1,863)	89.04%
Investment Income	700	47	1389.40%
Profit Before Tax	(3,999)	(654)	511.50%

4.2. Composition of Gross Premium Written

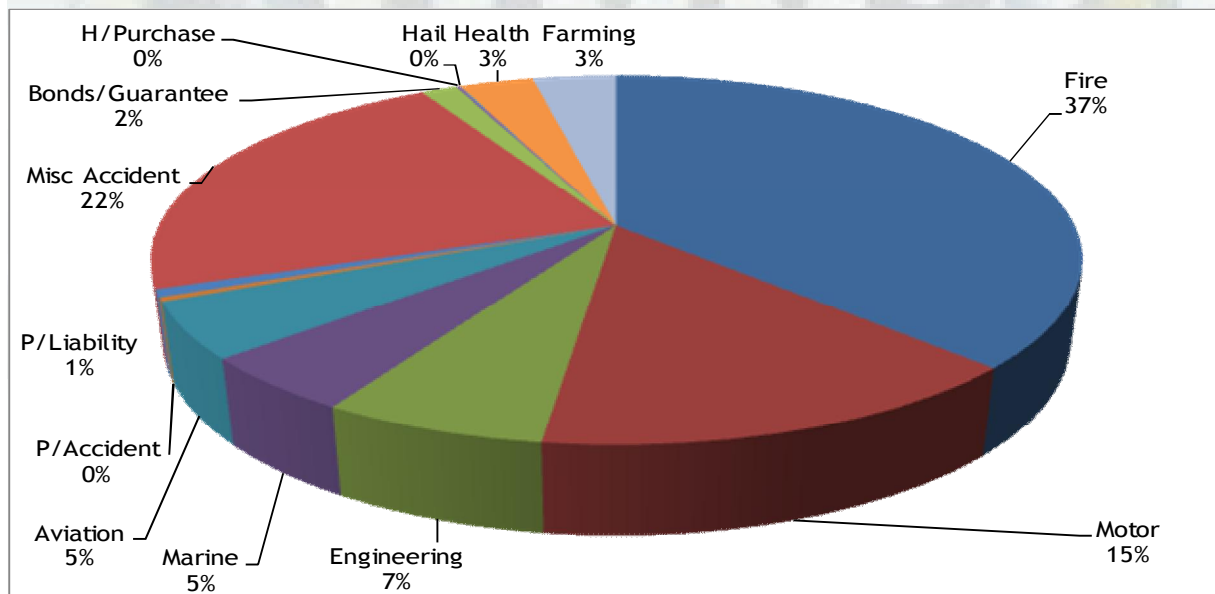
Fire, miscellaneous accidents and motor insurance continue to be the domineering classes of business constituting 74% of the GPW by reinsurers in the quarter under review. Fire insurance accounted for 37% of the business, with miscellaneous and motor contributing 22% and 15% respectively. The difference in composition of business between direct insurers and reinsurers (compare figure 1 and 9) reflects that the direct insurers have a high risk retention appetite for motor than fire insurance.

It is interesting to note that the growth in agriculture related reinsurance business is an indication of the insurance sector's support towards the government's agrarian reforms.

Table 4: Gross Written Premiums by Class of Business

Class	Q4	Q3	% Change
Fire	18,670,941.00	13,900,622.00	34.3%
Motor	7,437,198.00	6,234,772.00	19.3%
Engineering	3,295,698.00	2,600,855.00	26.7%
Marine	2,448,675.00	2,385,145.00	2.7%
Aviation	2,458,379.00	1,614,003.00	52.3%
P/Accident	185,388.00	84,420.00	119.6%
P/Liability	345,489.00	307,540.00	12.3%
Misc Accident	11,152,512.00	8,985,515.00	24.1%
Bonds/Guarantee	742,819.00	608,824.00	22.0%
H/Purchase	72,445.00	50,345.00	43.9%
Hail	20,330.00	11,220.00	81.2%
Health	1,534,510.00	838,740.00	83.0%
Farming	1,729,562.00	293,786.00	488.7%
Total	50,093,946.00	37,915,787.00	32.1%

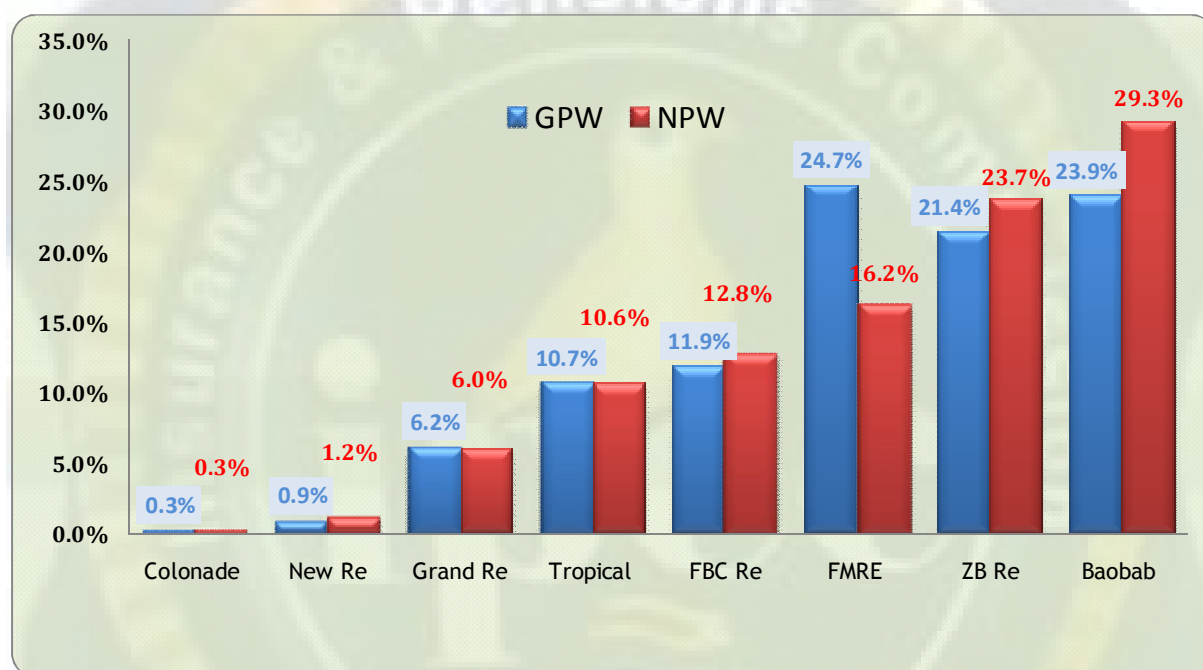
Figure 9: Distribution of Business



4.3. Market Share for Reinsurers

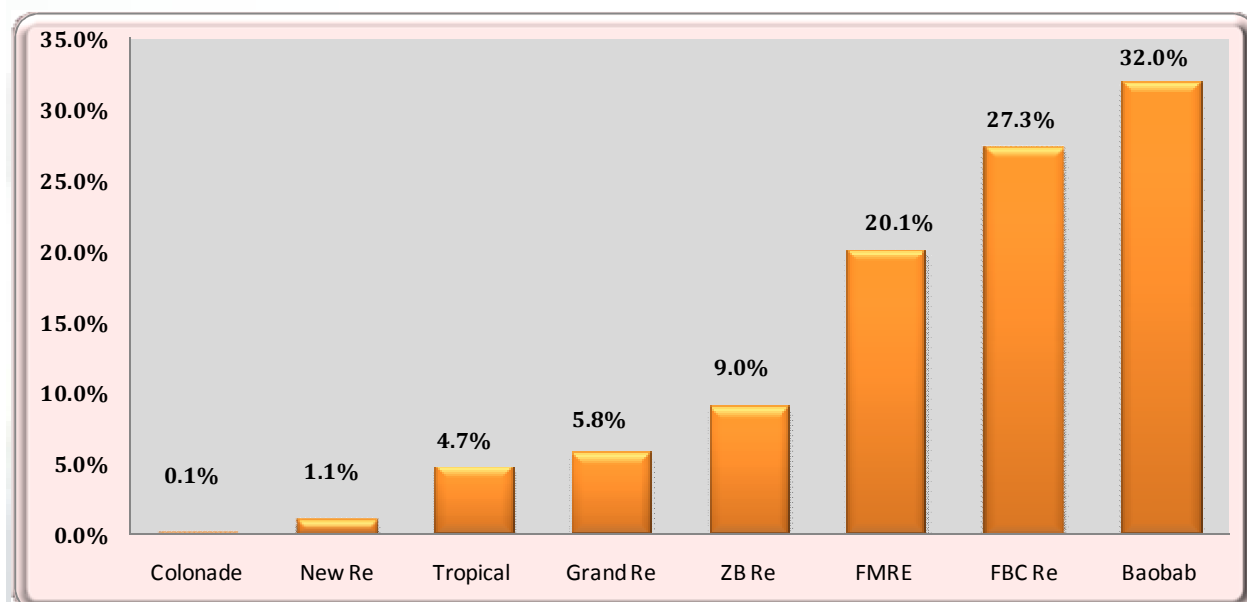
The market share rankings remained basically the same as recorded at the end of the previous quarter. The top three reinsurers accounted for 70% and 69% of the total GPW and NPW for the period under review respectively.

Figure 10: Market share by GPW/NPW



The industry had an asset base of \$79.81 million as at 31 December 2010, an improvement of 3% from the \$77.47 million figure as at 30 September 2010. Asset concentration remains high in the short term reinsurance industry with, 79% of total assets in the hands 3 players and one reinsurer commanding a third of these assets. Refer to figure 11 for the ranking of reinsurers in terms of assets.

Figure 11: Market share by Asset distribution

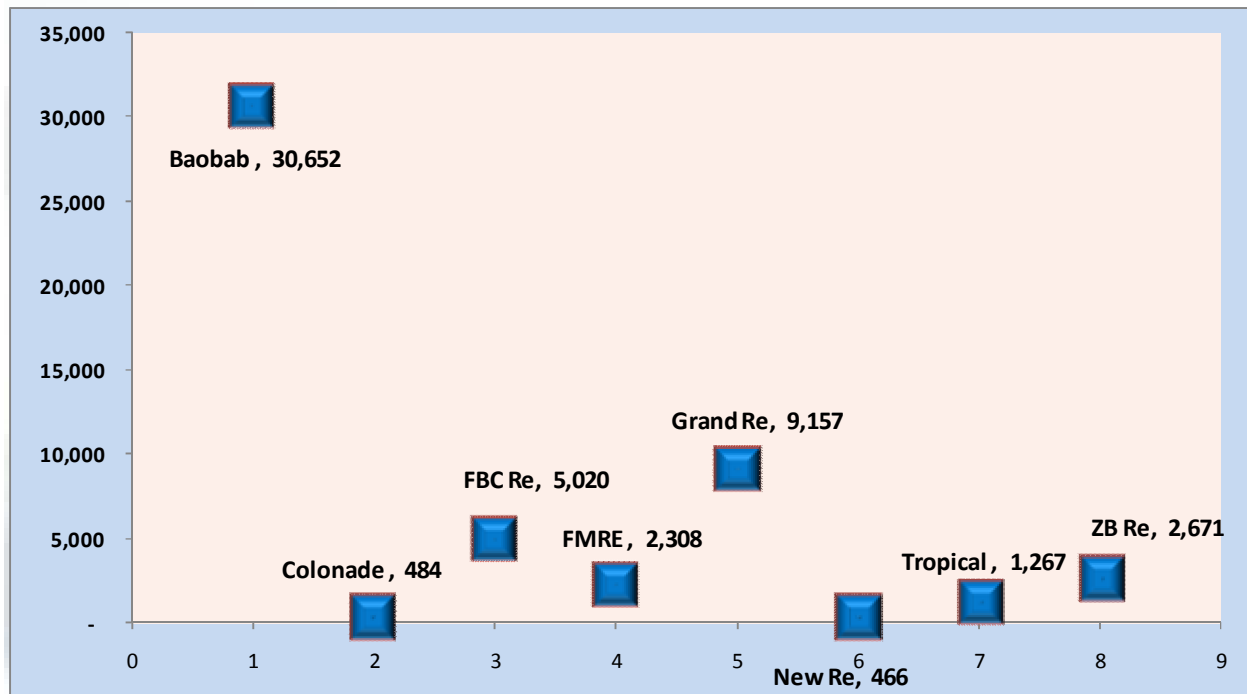


4.4. Capitalization

There was a marginal increase in total shareholders' equity of the short term reinsurers of 2% from \$50.82 million as at 30 September 2011 to \$52.04 million as at 31 December 2010. The increase in capitalization resulted mostly from capital injections and retained earnings. All reinsurers remained capitalized above the minimum requirement of \$400 000. One player accounts for 59% of the total capital and the least capitalized insurer accounts for less than 1% of the same. There is need for most of the players to inject new capital into their operations to strengthen the industry and make themselves more competitive.

The Commission also intends to increase minimum capital levels for the reinsurers during the year 2012.

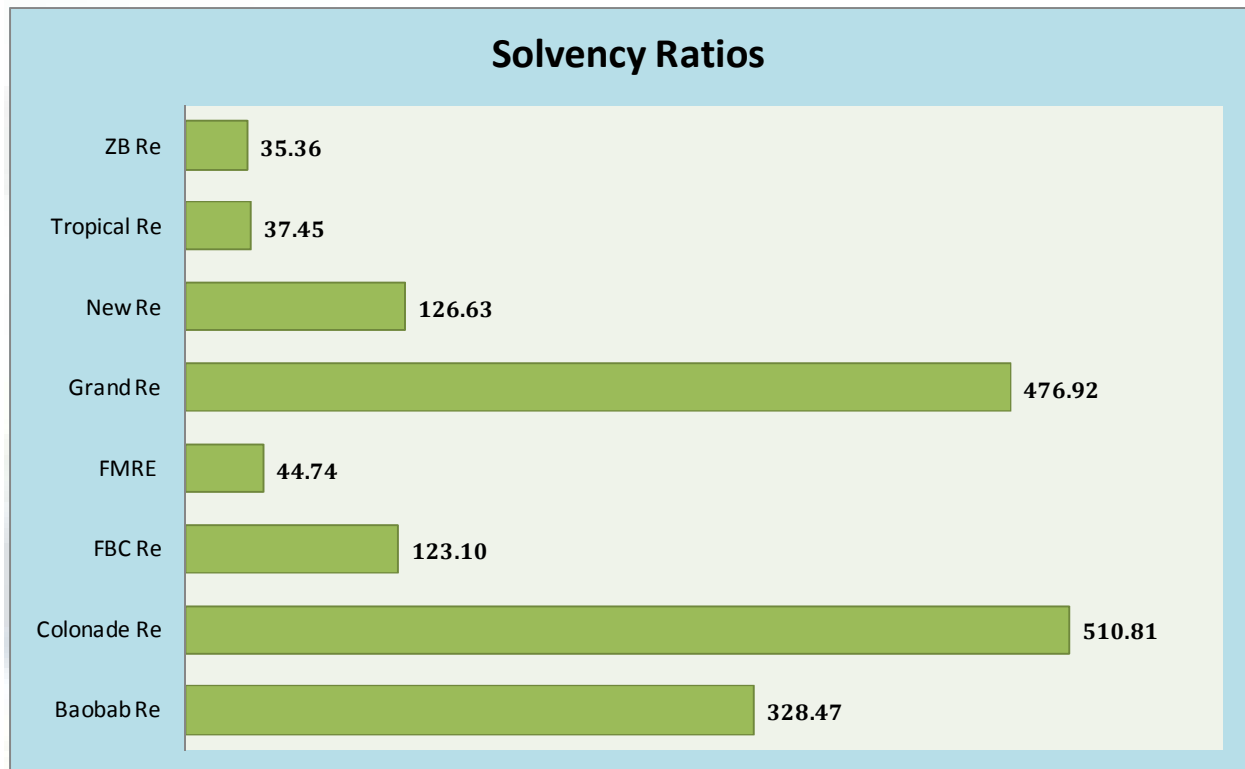
Figure 12: Shareholders Equity



4.5. Solvency

Average solvency for the period under review remained constant at 212% as compared to the 3rd quarter position. The lowest solvent ratio in the sector was 35%. See figure 13.

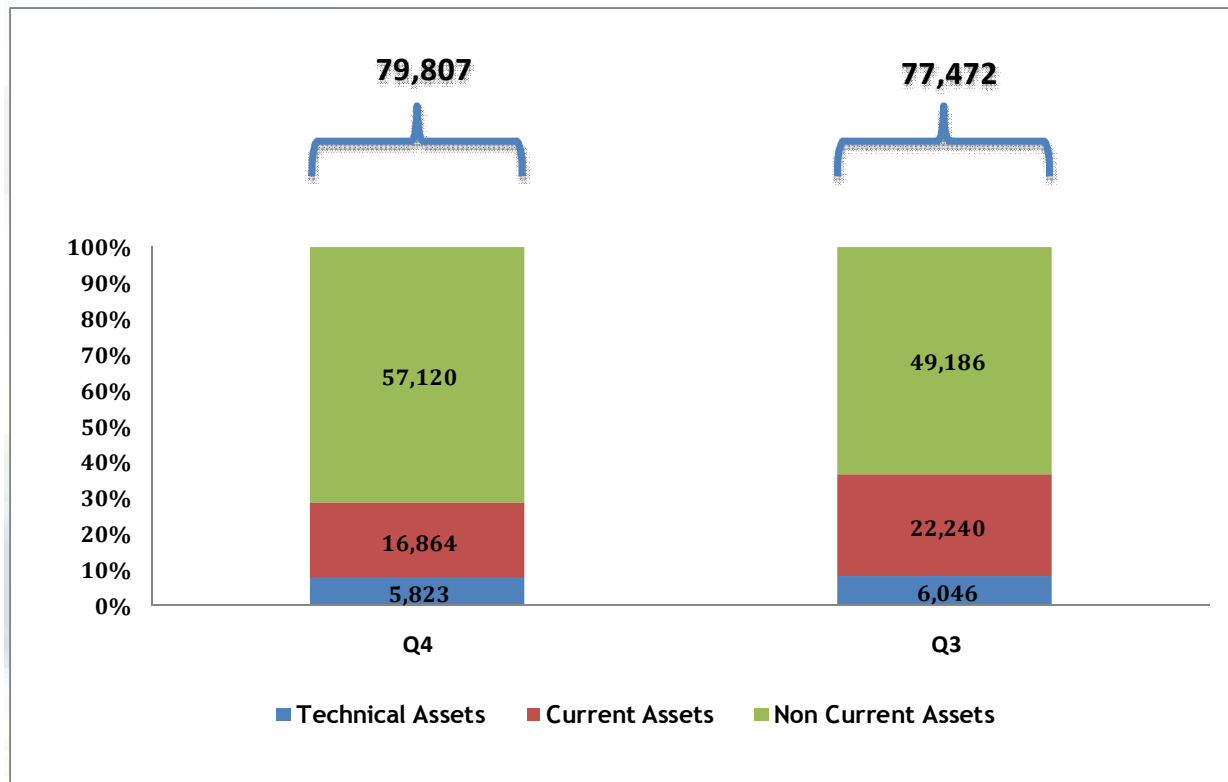
Figure 13: Solvency Ratios



4.6. Asset Quality

The assets remained skewed towards non-current assets (70%) thereby constraining the ability of reinsurers to timeously meet claims obligation as they arise.

Figure 14: Assets of Reinsurers ('000)



4.7. Retention

The average retention ratio increased by 1% in the last quarter to 64%. Individual reinsurers and retention by class of business are shown in figure 15 and 16 respectively.

Figure 15: Retention/Retrocession

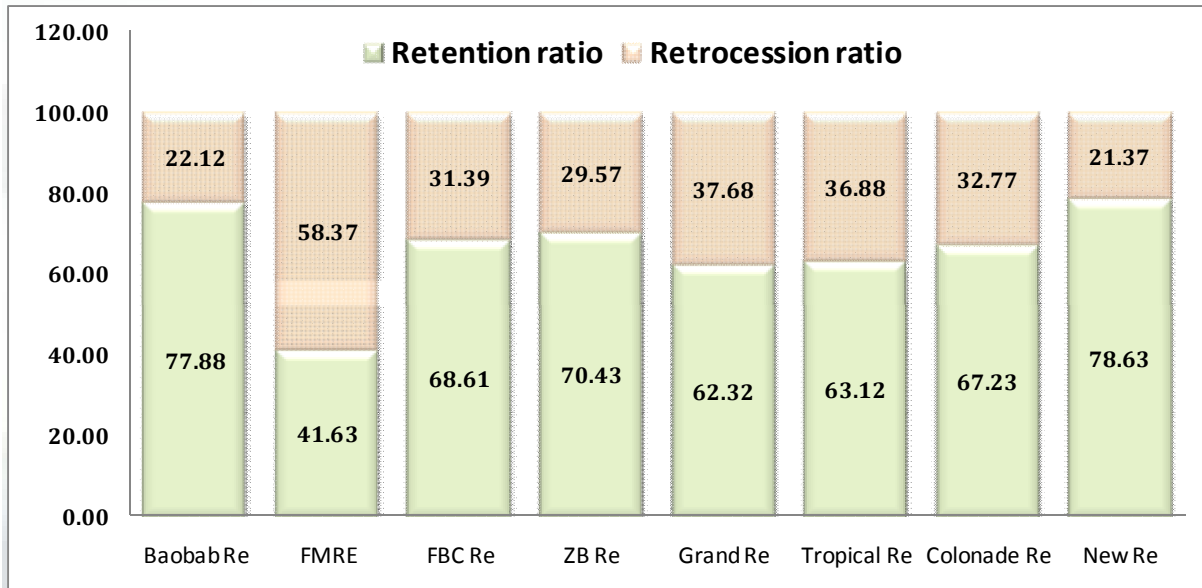
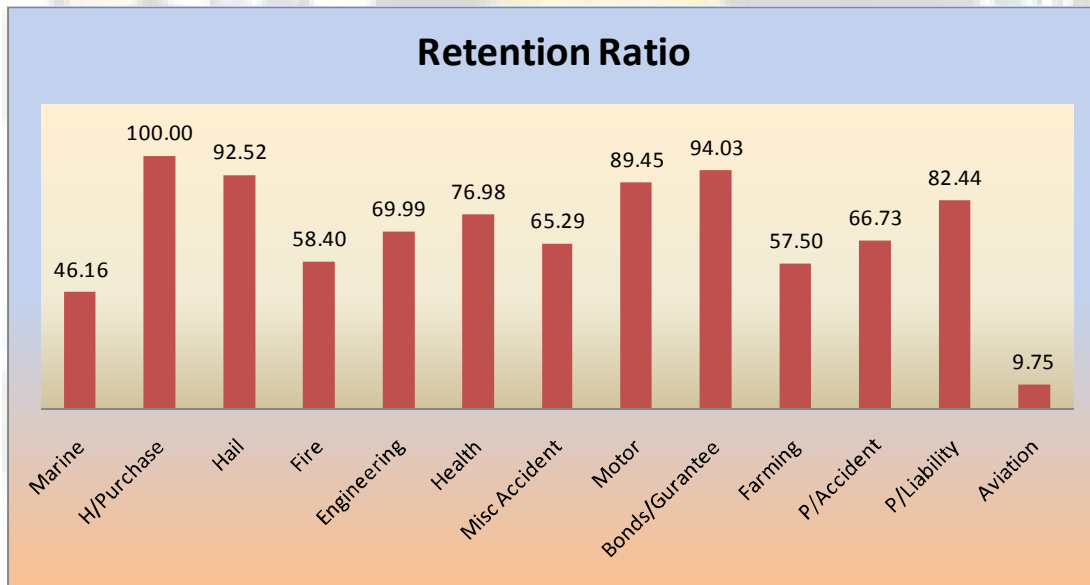


Figure 16: Retention by Class of Business



Appendix B: Statement of Income-Reinsurers U\$ '000

	Baobab	Colonade	FBC Re	FMRE	Grand Re	New Re	Tropical	ZB Re	Total
Gross Written Premiums	11,982	141	5,943	12,392	3,081	468	5,362	10,725	50,094
Reinsurance Premiums	2,650	46	1,866	7,233	1,161	100	1,978	3,172	18,206
Net Written Premiums	9,332	95	4,078	5,158	1,920	368	3,384	7,554	31,888
Net Earned Premiums	8,725	95	3,977	5,042	1,951	294	3,008	7,392	30,484
Net Incurred Claims	4,509	5	990	2,167	834	33	805	2,527	11,870
Net Commission Incurred	2,300	25	1,477	973	429	93	853	2,101	8,251
Technical Result	2,089	65	1,510	1,872	656	168	1,425	2,764	10,549
Operating Expenses	3,970	104	3,422	3,232	534	185	486	2,136	14,071
Underwriting Result	(1,881)	(39)	(1,913)	(1,360)	122	(17)	939	627	(3,522)
Investment									
Investment Income	187	0	287	236	(165)	0	81	74	700
Unrealised Gains/Losses	(214)	0	19	(1,163)	0	4	0	0	(1,354)
Other Income	0	0	21	8	0	0	0	0	29
Profit Before Tax	(1,687)	(39)	(1,659)	(2,279)	(43)	(13)	1,020	702	(3,999)
Key Ratios									
Market Share based on GWP	23.9%	0.3%	11.9%	24.7%	6.2%	0.9%	10.7%	21.4%	100.0%
Market Share based on NWP	29.3%	0.3%	12.8%	16.2%	6.0%	1.2%	10.6%	23.7%	100.0%
Retention Ratio	77.9%	67.2%	68.6%	41.6%	62.3%	78.6%	63.1%	70.4%	63.7%
NEP/ NPW	93.5%	100.0%	97.5%	97.7%	101.6%	79.9%	88.9%	97.9%	95.6%
Net Claims/NEP	51.7%	5.6%	24.9%	43.0%	42.7%	11.2%	26.8%	34.2%	38.9%
Net Commission Ratio	26.4%	25.9%	37.1%	19.3%	22.0%	31.6%	28.4%	28.4%	27.1%
Net Expense Ratio	45.5%	110.1%	86.1%	64.1%	27.4%	62.9%	16.2%	28.9%	46.2%
Combined Ratio	123.5%	141.7%	148.1%	126.4%	92.1%	105.8%	71.3%	91.5%	112.2%
Underwriting Margin	-23.5%	-41.7%	-48.1%	-26.4%	7.9%	-5.8%	28.7%	8.5%	-12.2%

Statement of Financial Position-Reinsurers US\$'000

	Baobab	Colonade	FBC Re	FMRE	Grand Re	New Re	Tropical	ZB Re	Total
ASSETS									
Non-Current Assets									
Fixed Assets	1,446	55	301	207	287	143	231	711	3,380
Investments	30,742	29	5,663	5,676	8,817	406	976	1,431	53,740
	32,188	84	5,964	5,883	9,104	549	1,208	2,142	57,120
Technical Assets									
Reinsurers' Share of Outstanding	0	0	3,775	0	273	0	0	0	4,048
Provision for Unearned Commisio	866	0	196	402	311	0	0	0	1,775
	866	0	3,971	402	584	0	0	0	5,823
Current Assets									
Premium Receivables	4,516	128	1,921	1,240	679	144	1,139	2,182	11,949
Other Debtors & Inventory	1,224	145	49	245	17	6	0	172	1,858
Accrued Investment income	0	0	0	2	0	0	0	0	2
Cash & cash equivalents	746	168	689	109	374	60	239	669	3,055
	6,485	441	2,660	1,596	1,071	210	1,379	3,022	16,864
TOTAL ASSETS	39,539	525	12,594	7,881	10,758	759	2,586	5,164	79,807
LIABILITIES									
Deferred Tax Liabilities	0	0	(161)	164	0	0	0	(155)	(153)
Current Tax provisions	298	0	(427)	0	0	10	0	9	(110)
Long term loan	0	0	0	0	250	44	0	0	294
IBNR	2,805	0	0	449	467	0	0	0	3,721
Gross Outstanding Claims	0	0	4,697	0	0	33	0	1,376	6,106
UPR	0	0	1,061	0	0	123	0	577	1,761
Unearned Premiums	2,308	0	0	2,031	626	0	191	0	5,156
Reinsurance & Other Creditors	2,485	41	709	2,368	171	83	1,129	686	7,671
Other Creditors	990	0	1,696	562	87	0	0	0	3,336
TOTAL LIABILITIES	8,887	41	7,575	5,574	1,601	293	1,319	2,493	27,783
SHAREHOLDERS' EQUITY									
Share Capital	400	462	0	3,004	400	400	227	5	4,898
Share Premium	23,972	0	2,203	0	0	0	0	495	26,670
Revaluation & Other Reserves	3,733	22	3,591	319	5,246	100	0	11	13,022
Retained Profit	2,546	0	(775)	(1,016)	3,512	(34)	1,040	2,160	7,433
Shareholders's Equity	30,652	484	5,020	2,308	9,157	466	1,267	2,671	52,024
TOTAL EQUITY & LIABILITIES	39,539	525	12,594	7,881	10,758	759	2,586	5,164	79,807
Key Ratios									
Shareholders' Equity / NWP	328.5%	510.8%	123.1%	44.7%	476.9%	126.6%	37.4%	35.4%	163.1%
% of Debtors / Total Assets	11.4%	24.3%	15.3%	15.7%	6.3%	19.0%	44.0%	42.3%	15.0%
% of Investments / Total Assets	77.8%	5.5%	45.0%	72.0%	82.0%	53.5%	37.7%	27.7%	67.3%